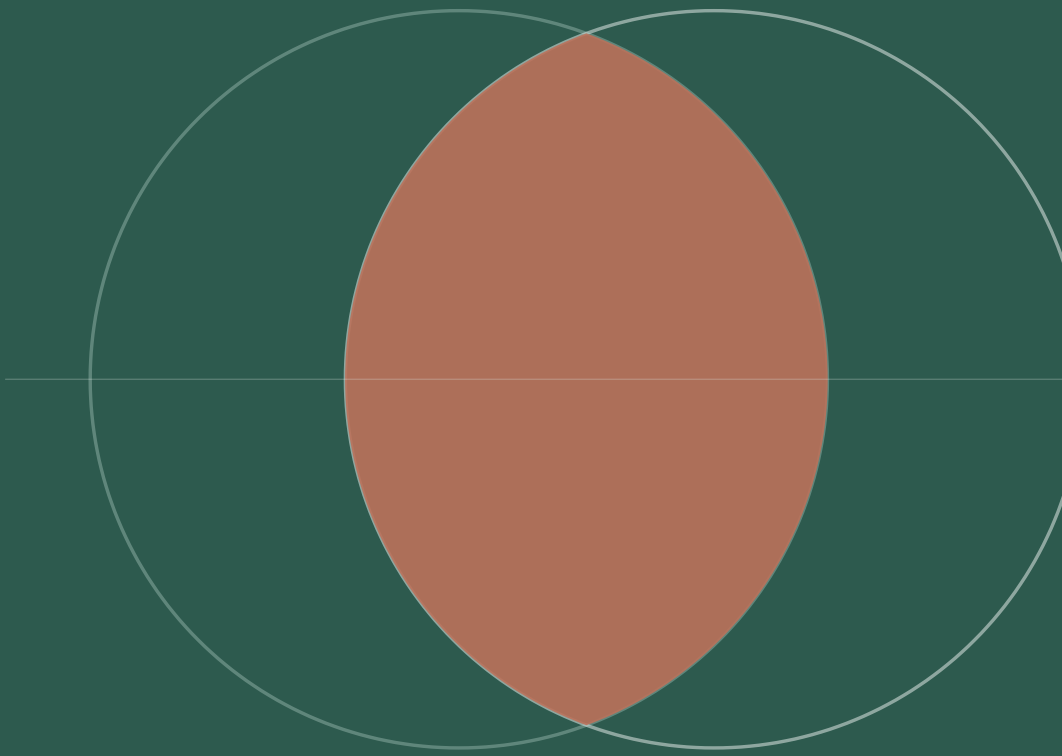
Lewis Wilson · Industry report



A REPORT FOR UK AND IRISH WEALTH FIRMS

Hybrid by Design

Building trust in wealth management as AI reshapes the economics of advice

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Executive summary

Artificial intelligence is no longer a future consideration for wealth management. Three in four UK financial services firms already use it[1], and the share of financial advisers who say they would never use it has fallen from 27% to 8% in little more than two years[2]. The question for wealth firms is no longer whether AI will change the business. It is which parts of the business AI will make cheaper, and which parts it will make more valuable.

This paper argues that AI is compressing the price of routine advice while raising the premium on demonstrable human judgment. The firms that win will be those that can *show* that value, clearly and digitally, to clients who increasingly research everything online before they speak to anyone.

Four pressures are converging.

1. The client base is about to change hands. More than £5.5 trillion is expected to pass between UK generations over three decades[3], and around £150 billion a year already passes on through inheritances and gifts[4]. In the US, only 27% of people who expect to inherit plan to keep their parents' adviser, and among those who have already inherited, only 20% plan to stay[5]. Very few leave because of poor performance. They leave because they never had a relationship with the adviser in the first place[5,6].

2. The value of ongoing advice has grown, but it is largely invisible. The UK tax-free allowances that once sheltered ordinary investors have been cut sharply. The capital gains tax exemption has fallen from £12,300 to £3,000, the dividend allowance is now £500, and from April 2027 the cash ISA limit falls to £12,000 for savers under 65[7,8]. Good portfolio and tax planning is worth more than it has been for a generation. Yet most clients never see it happen.

3. Fee models are unbundling, not collapsing. The traditional percentage-of-assets fee is the only pricing model showing compression. Flat fees, retainers and subscriptions are all growing[9]. AI will decide which services become commodities. Firms must now justify price rather than assume it.

4. Trust is the bottleneck. Use of AI keeps rising while trust in the companies behind it falls: in the UK, from 48% in 2019 to 33% in 2024[10]. Investors use AI to research, but still turn to people to decide: only 7% of US investors say AI drove their last major investment decision[11]. Younger clients do not want AI instead of an adviser. They want an adviser who uses AI well[12,13].

Each of these is a communications problem before it is a technology problem. Heirs choose the firm they already know. Value that cannot be seen cannot be priced. Trust that is not designed for is not earned.

WHAT THIS MEANS FOR YOUR FIRM

- Build relationships with the next generation now, digitally, before the assets move.
- Make the value of advice visible: in reporting, in fee communication and at every tax-year moment.
- Design a hybrid service on purpose, with AI where it adds speed and a named, accountable person where it adds trust.

The final sections of this paper set out what a credible digital response looks like, and close with a one-page checklist that leadership teams can use to assess their own client proposition.

At a glance

£5.5tn

estimated to pass between UK generations over 30 years (2017 estimate)[3]

20%

of US heirs who have already inherited plan to keep their benefactor's adviser[5]

£3,000

UK capital gains tax exemption, down from £12,300 in 2022/23[14]

48%

of UK advisers have implemented some form of AI, up from 21% a year earlier[2]

33%

of UK adults trust AI companies, down from 48% in 2019[10]

16%

of UK adults already use general-purpose AI apps to ask financial questions[15]

Introduction

Wealth management has absorbed technology shocks before. Online platforms, model portfolios and robo-advisers were each expected to remove the need for human advisers. None did. Each instead changed what clients were willing to pay a person for.

Generative AI is a larger shift than any of these, for one reason: it reaches the parts of the job that were previously thought to be protected. It writes meeting notes, drafts suitability reports, summarises research and answers client questions in plain English. Tasks that filled an adviser's week can now be done in minutes. That is good news for productivity and difficult news for any firm whose pricing assumes those tasks are scarce.

At the same time, the client base is changing. The generation that built most of the UK's private wealth is passing it on. Their children and grandchildren research digitally by default, compare providers in minutes and expect the same experience from their wealth manager as from the best technology companies they use[16]. They are also more sceptical, more fee-conscious and more likely to ask what exactly they are paying for.

This paper is written for the people who must respond to both shifts at once: marketing directors, digital leads and senior management at established wealth and financial services firms. It draws on more than fifty published sources, including regulators, central banks, global consultancies and large investor surveys, and it is framed for the UK and Irish markets. Where the best available evidence comes from the US or from global studies, that is stated.

The argument runs in nine parts. Sections 1 to 6 set out the evidence: how far adoption has gone, where clients and assets are moving, what advice is actually worth, how fees are changing, why trust has become the constraint, and how regulation is responding. Section 7 considers the environmental cost of AI. Sections 8 and 9 turn the evidence into a practical response.

01 THE SHIFT

AI is already mainstream in UK financial services, and adviser resistance has collapsed

AI is not arriving. It has arrived. Adoption across UK financial services is already the norm, and adviser resistance has collapsed in two years.

Adoption is already mainstream

The Bank of England and the Financial Conduct Authority's third survey of AI in UK financial services found that 75% of firms were already using AI in November 2024, with a further 10% planning to adopt it within three years[1]. Foundation models, including large language models, already accounted for 17% of use cases. Most deployments were classed as low materiality: AI was being used to support work rather than to make consequential decisions on its own[1]. The survey remains the most recent of its kind.

That pattern matters. Adoption has been broad and practical rather than dramatic. The early gains are in productivity: in Lloyds' 2025 survey of UK financial institutions, 59% reported improved productivity from AI, up from 32% a year earlier[17].

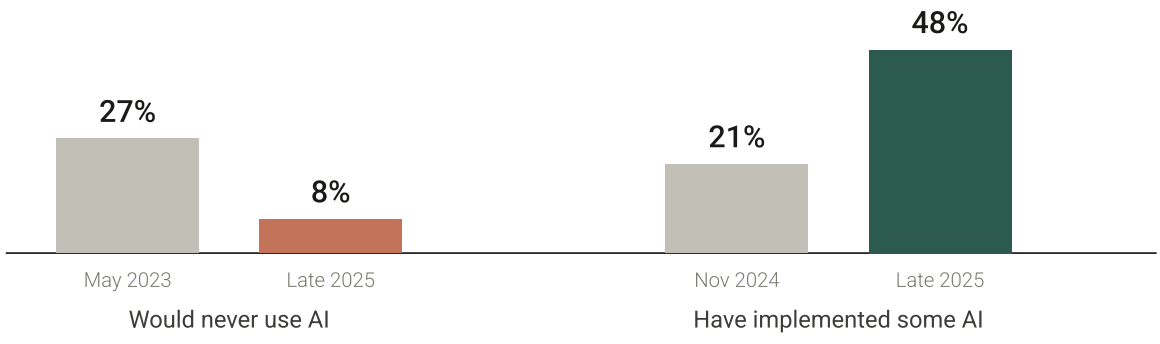
Advisers have changed their minds

The most striking shift is among advisers themselves. In May 2023, 27% of UK financial advisers said they would never use AI. By late 2025 that figure had fallen to 8%[2]. Almost half (48%) have now implemented some form of AI in their advice process, up from 21% a year earlier[2].

FIGURE 1

Adviser resistance to AI has collapsed in two years

Share of UK financial advisers, %



Source: Schroders, UK Financial Adviser Survey 2023 to 2025 (221 UK advisers in 2025). UK data.
Notes: the two measures cover different periods.

The applications are practical rather than transformational: meeting notes, client communications, research summaries and report drafting[2]. These are exactly the tasks that consume adviser time without being visible to the client. Automating them frees capacity. Whether that capacity is spent on more clients, deeper relationships or lower

prices is the strategic choice each firm now faces.

Capacity matters because the UK advice market is small and shrinking. The number of financial advice firms fell by 15% between 2021 and 2025, to around 5,500, while the number of advisers has held broadly steady at around 31,000[18]. Only 8.6% of UK adults, around 4.6 million people, received regulated financial advice in the year to May 2024[19]. AI is one of the few levers that could let the same number of advisers serve materially more people.

Robo-advice has not replaced advisers

It is worth being precise about what has *not* happened. Statista estimated in 2024 that robo-advisers managed around $1.8 trillion of assets worldwide, forecast to reach roughly $2.3 trillion by 2028[20]. That is substantial, but it remains a small fraction of total managed wealth. A decade after robo-advice was expected to disrupt the industry, its main effect has been to push established firms towards hybrid models, not to replace them.

A NOTE ON MARKET-SIZE FIGURES

Published estimates of the "robo-advisory market" conflict widely, because some measure platform revenue and others measure assets under management. Reported 2030 projections range from tens of billions to several trillion dollars. This paper uses one consistent estimate of assets under management[20] and does not rely on market-research aggregators.

The lesson for the rest of this paper is that disruption is arriving through hybridisation, not replacement. AI is being absorbed into existing firms and existing relationships. The firms that gain will be the ones that absorb it fastest and explain it best.

IMPLICATIONS FOR WEALTH FIRMS

- Treat AI adoption as a given in planning: clients and competitors already assume it.
- Decide now where freed adviser capacity goes: more clients, deeper relationships or lower prices.
- Present AI as part of a hybrid service, not a replacement for advisers.

02 CLIENT ACQUISITION

Heirs are not leaving for robots. They are leaving for advisers they already know

The industry faces an attrition event, not a technology event. Assets are about to move to a generation with no relationship to the incumbent adviser.

The largest transfer of wealth in UK history

In 2017 the Centre for Economics and Business Research estimated that more than £5.5 trillion would pass between UK generations over the following 30 years[3]. Baby boomers held around 52.5% of total UK wealth in 2020[21], and the Resolution Foundation estimates that around £150 billion a year was already being passed on through inheritances

and gifts before the pandemic[4].

The wealth is also concentrated. Research for Brooks Macdonald in 2019 estimated that more than £300 billion would pass to around 300,000 beneficiaries over the following decade: £127 billion from around 36,000 high-net-worth individuals and £200 billion from around 770 ultra-high-net-worth individuals[22]. That decade is now more than half over. Much of this wealth is moving now, to heirs whose relationship with the family's adviser is thin or non-existent.

FIGURE 2

The wealth about to change hands is highly concentrated

Wealth expected to pass to UK beneficiaries over the decade from 2019, by source, £ billion



Source: Brooks Macdonald, drawing on 2019 Wealth-X research. UK data. Averages are Author's analysis.
Notes: the two groups total about £327bn, published as "more than £300bn".

The pattern is international. In the US, Cerulli Associates expects $124 trillion to transfer through to 2048[23]. But the UK has a particular accelerant. From 6 April 2027, most unused pension funds and death benefits will be brought into the scope of inheritance tax; death-in-service benefits and dependants' scheme pensions are excluded[24]. For many families this turns estate planning from a future concern into an immediate one, and it will bring a new wave of clients, and their heirs, into conversations about succession.

Heirs leave, and performance is not the reason

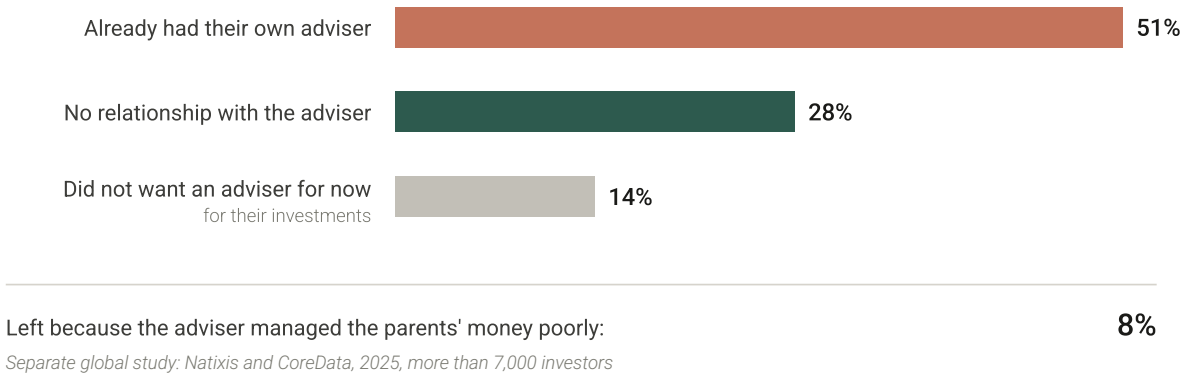
For wealth firms, a transfer of assets is not automatically a transfer of clients. Cerulli's 2025 research in the US found that only 27% of people who expect an inheritance plan to keep their benefactor's adviser. Among those who have already inherited, only 20% plan to keep the adviser[5].

The reasons matter more than the headline. Of heirs who did not keep the adviser, 51% already had an adviser of their own. A further 28% had no relationship with their benefactor's adviser. Only 14% said they did not want an adviser for their investments at that time[5]. Separately, a 2025 global study of more than 7,000 investors found that just 8% of heirs left because the adviser had managed their parents' money poorly[6].

FIGURE 3

Heirs leave for advisers they already know, not because of performance

Reasons heirs give for leaving their parents' adviser, % of those who left



Left because the adviser managed the parents' money poorly: **8%**

Separate global study: Natixis and CoreData, 2025, more than 7,000 investors

Source: Cerulli Associates, September 2025 (US data); Natixis and CoreData, 2025 (global).
Notes: base is US heirs who did not keep their benefactor's adviser. The 8% figure comes from a separate study with a different base.

KEY INSIGHT

Heir attrition is a relationship failure, not a performance failure.

The evidence points one way. Heirs are not defecting to robots, and they are not leaving because of poor returns. They are leaving for other humans they already know. Where an adviser has built a relationship with the next generation *before* the transfer, heirs are substantially more likely to stay. Nuveen's US research found that 80% of heirs kept the family adviser when they had met them as children, against 54% when they first met as adults[25].

Relationships with the next generation are formed digitally

This reframes the problem. The challenge is not to out-perform. It is to be known, trusted and chosen by people in their thirties and forties who may never have met the family adviser.

Those relationships form in a different way. LSEG found that 68% of investors expect their digital experiences with wealth firms to match those of leading technology companies[16]. The next generation will look at a firm's website, read its content, try its app and compare it with alternatives long before they agree to a meeting. For many, the digital experience *is* the first meeting.

A firm that is invisible, dated or opaque online is therefore not only losing new business. It is quietly losing its existing book, one inheritance at a time.

IMPLICATIONS FOR WEALTH FIRMS

- Measure the firm's relationships with clients' heirs, not just with clients.
- Start engaging the next generation before assets transfer, and do it digitally.
- Expect the April 2027 pension and inheritance tax change to bring succession conversations forward.

03 THE ONGOING VALUE CASE

Shrinking tax allowances have made good advice worth more, but clients rarely see it

Wealth management is not only about what passes on. Day-to-day portfolio management and tax planning are where advisers demonstrably earn their fee, and the UK tax squeeze has made that value larger.

What advice is worth

The value of advice is often treated as self-evident by the industry and as unproven by clients. The evidence supports the industry, with caveats.

Vanguard's *Adviser's Alpha* research for the UK estimates that advisers who follow wealth-management best practice can add up to, or more than, 3% in net returns, across seven areas including rebalancing, tax-efficient asset location, spending strategy and behavioural coaching[26]. Vanguard is careful to say that this is not an annual return to be expected each year: the value arrives irregularly and depends on each client's circumstances[26]. Much of it comes in moments of stress, when a good adviser stops a client from selling at the bottom.

The strongest UK-specific evidence comes from the International Longevity Centre and Royal London. Using Wealth and Assets Survey data, they found that advised individuals were on average more than £47,000 better off after a decade than comparable people who had not taken advice, after controlling for other factors[27]. The measured effect, £47,706, was around £5,000 larger than in their 2017 estimate, and ongoing relationships produced better outcomes than one-off advice[27]. The study dates from 2019, but it remains the most robust UK figure available.

3%	£47,000
potential added net return from best-practice advice, not annual[26]	average advantage of advised UK individuals after a decade (2019 study)[27]

The UK tax squeeze

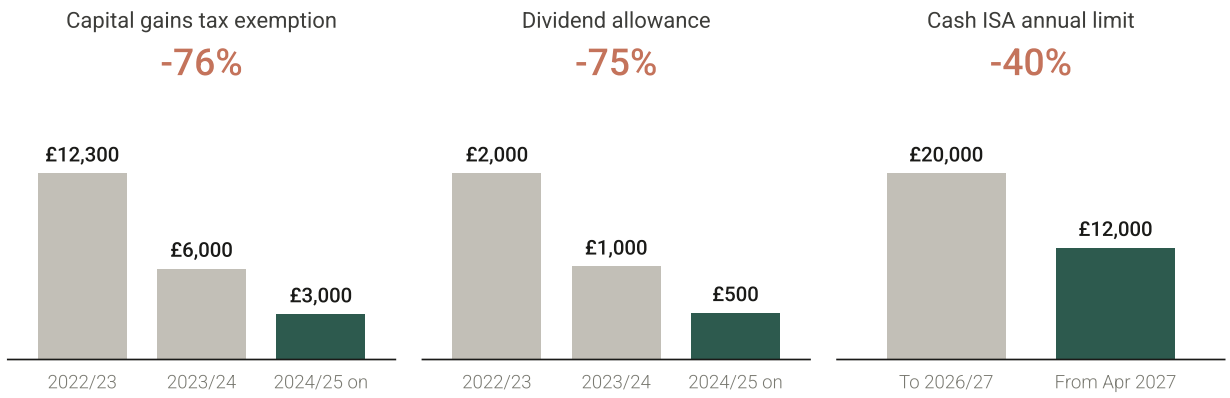
Over the past four years the UK tax system has steadily removed the allowances that once protected ordinary investors from the need for planning.

The capital gains tax annual exempt amount has fallen from £12,300 in 2022/23 to £3,000 since 2024/25, and to £1,500 for most trustees[14,7]. The dividend allowance has been cut to £500, and from April 2026 the basic and higher dividend tax rates rose by two percentage points, to 10.75% and 35.75%; the additional rate stays at 39.35%[7,28]. From April 2027 savings income tax rates rise by two percentage points in every band, and the annual cash ISA limit falls from £20,000 to £12,000 for savers under 65, within an unchanged overall ISA limit of £20,000[8]. Meanwhile the personal allowance (£12,570) and higher-rate threshold (£50,270) stay frozen until April 2031, so inflation pulls more people into higher bands each year[7,28].

FIGURE 4

UK tax-free allowances have been cut sharply

Annual allowance, £, by tax year



Source: HM Revenue and Customs; HM Treasury. UK data.
Notes: the cash ISA change applies from April 2027 to savers under 65; the overall ISA limit stays £20,000. Trustees' CGT exemption is £1,500.

The practical effect is that the same fund can now produce materially different after-tax returns depending on whether it sits in a pension, an ISA or a general investment account[29]. Where assets are held, and in what order they are drawn, has become as important as what they are invested in. Demand is plainly there: UK savers put a record £14 billion into cash ISAs in April 2025 alone[30].

Where AI fits in

AI is well suited to the analytical side of this work. Platforms are already using it to personalise portfolios for tax at a scale that was previously only economic for the wealthiest clients. In the US, direct indexing assets reached around $1.2 trillion at the end of 2025, yet fewer than one in five advisers used it in 2024[31]. Academic research estimates that systematic tax-loss harvesting added around 1% a year to after-tax returns for US investors over several decades, or around 0.8% under US wash-sale rules[32], and AI-driven platforms are extending this kind of personalisation from high-net-worth clients into the mass affluent[33]. Cerulli now describes integrated, ongoing tax management as foundational rather than a bolt-on service[34].

THE UK IS DIFFERENT

Tax-loss harvesting and direct indexing are largely US concepts. In the UK, share-matching rules, including the 30-day "bed and breakfasting" rule, change the mechanics considerably. The domestic equivalents are bed-and-ISA transactions, transfers between spouses and civil partners, careful sequencing of withdrawals across wrappers, and the timing of pension contributions. The opportunity is the same: AI can model these choices for every client, every tax year, rather than only for the few who ask. Firms that can explain this in UK terms will stand out against generic, US-derived content.

The conclusion for this section is simple. AI makes good tax and portfolio planning cheaper to deliver and easier to personalise. It does not make it less valuable. But that value is almost entirely invisible to clients unless the firm shows it to them: in reporting, in timely prompts before the tax year ends, and in plain-English explanations of what was done and why.

IMPLICATIONS FOR WEALTH FIRMS

- Make tax and wrapper planning visible: show clients what was done and what it saved.
- Use AI to extend personalised planning to clients who were previously uneconomic to serve.
- Explain planning in UK terms, not in borrowed US concepts.

04 FEES AND COMMISSION

The 1% model is unbundling, not collapsing

The 1% model is fraying at both ends. AI decides which parts of the value chain become commodities, and firms must now justify price rather than assume it.

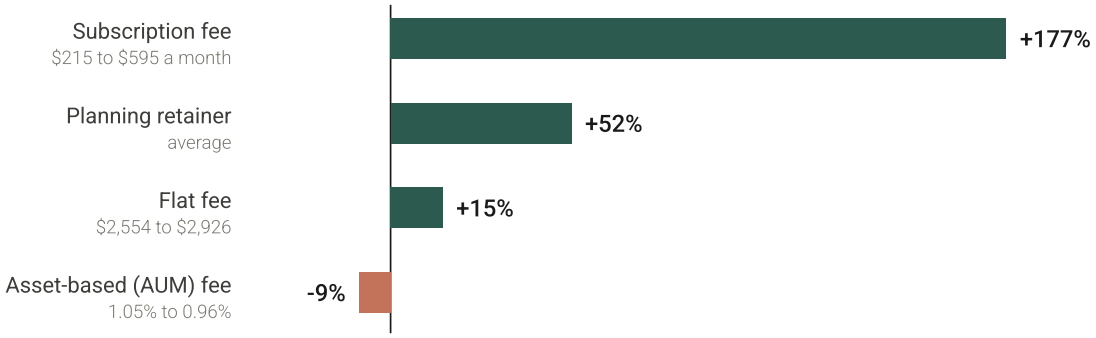
Unbundling, not collapse

There is a popular view that AI will drive advice fees towards zero. The evidence suggests something more nuanced. Envestnet's 2026 survey of 491 US advisers found that the bundled fee based on assets under management is the *only* pricing model showing compression, from an average of 1.05% to 0.96%[9]. Every other model is growing. Average flat fees have risen 15% since 2023, from $2,554 to $2,926. Subscription fees have nearly tripled, from $215 to $595 a month. The average annual planning retainer is up 52% over the same period, from $4,484 to $6,815[9].

FIGURE 5

Only the asset-based fee is compressing

Change in average US adviser fees since 2023, %



Source: Envestnet MoneyGuide, 2026 state of financial planning fees, May 2026 (491 US advisers). Author's analysis of published averages.

The pressure on percentage fees is concentrated at the top. In 2025, 83% of US advisers told Cerulli they expected to charge less than 1% for clients with more than $5 million by 2026. Fees for portfolios above $10 million were projected to average around 0.66%, against roughly 1.25% for portfolios near $100,000[35].

FIGURE 6

Larger portfolios already pay far less

Average annual advisory fee, % of assets



Source: Cerulli Associates, April 2025: US advisers' expectations for 2026. US data.

The direction is clear. Clients are increasingly paying separately for advice, planning and portfolio management, rather than for a single bundle priced as a share of their wealth. Recurring planning subscriptions are becoming a standard operating model: they made up 85.6% of fee-for-service invoices on one major US billing platform in 2025[36]. These figures are from the US market. In the UK, ongoing advice charges typically sit between about 0.75% and 1%, and NextWealth found the average ongoing fee rose by 9 basis points between 2023 and 2025[37]. UK firms face the same forces, sharpened by the Consumer Duty's focus on fair value.

AI decides what becomes a commodity

Boston Consulting Group sets out two scenarios for the next decade[38]. In the first, a *displacement* scenario, AI agents handle portfolio construction, planning, tax optimisation and client communication at scale. Fees compress structurally, and advantage shifts to the firms with the largest client volumes rather than the deepest relationships. In the second, which BCG considers more likely, a *disruption* scenario, the AI-first wealth manager expands capacity across the value chain and reshapes the economics of advice without removing its human core[38].

In BCG's words, "AI will not eliminate wealth management, but it will further stratify it." Standardised advice for the mass affluent could face sustained fee pressure unless it comes with more value-added services[39]. Deloitte's analysis points to the other side of the same coin. US advisers spend nearly 70% of their time on behind-the-scenes work, and agentic AI could raise adviser productivity by roughly 30% to 100% by 2032, lowering the cost to serve while improving the quality of advice[40]. Which side a firm lands on depends heavily on its foundations. Firms with unified data and modern architecture scale AI quickly. Those with fragmented systems and siloed data "will struggle to move beyond pilots"[38].

FIGURE 7

AI makes routine work cheaper and human judgment more valuable

Illustrative split of wealth management work



Source: Author's analysis, drawing on BCG (2026) and Deloitte (2026).

Clients will pay, but only for value they can see

Clients are not simply demanding cheaper advice. LSEG found that 64% of investors want more cost-effective solutions and simpler fee structures, yet 51% would pay a premium for advice during periods of volatility or complexity[16]. Envestnet's conclusion is that the advisers who thrive will be those delivering value beyond what technology can replicate[9].

That leads to the central point of this section. If fees must now be justified rather than assumed, the justification is a communications artefact. It lives in a clear fee page, in personalised reporting, in plain-English statements of value, and in dashboards that show a client what their adviser did for them this tax year. A firm that cannot show its value will be priced as if it has none.

IMPLICATIONS FOR WEALTH FIRMS

- Review pricing by service, not only by asset level.
- Map which services AI will make cheaper, and which depend on human judgment.
- Build the communications that justify price: fee pages, value statements and reporting.

05 THE TRUST GAP

Clients research with AI, but they still decide with people

Adoption and trust are moving in opposite directions. Trust is now the bottleneck, and it has to be designed.

Trust is falling as capability rises

Edelman's Trust Barometer tracks public trust in AI companies across 24 countries. Between 2019 and 2024 it fell from 62% to 54%. The fall was sharper in the UK, from 48% to 33%, and in the US, from 50% to 35%[10]. In the UK, the US and six other developed markets, respondents who reject the growing use of AI outnumber those who embrace it by nearly three to one or more[41]. The technology sector itself has lost ground: in 2016 it was the most trusted sector in 18 of the 20 countries Edelman tracked, and by 2024 in only 11[41].

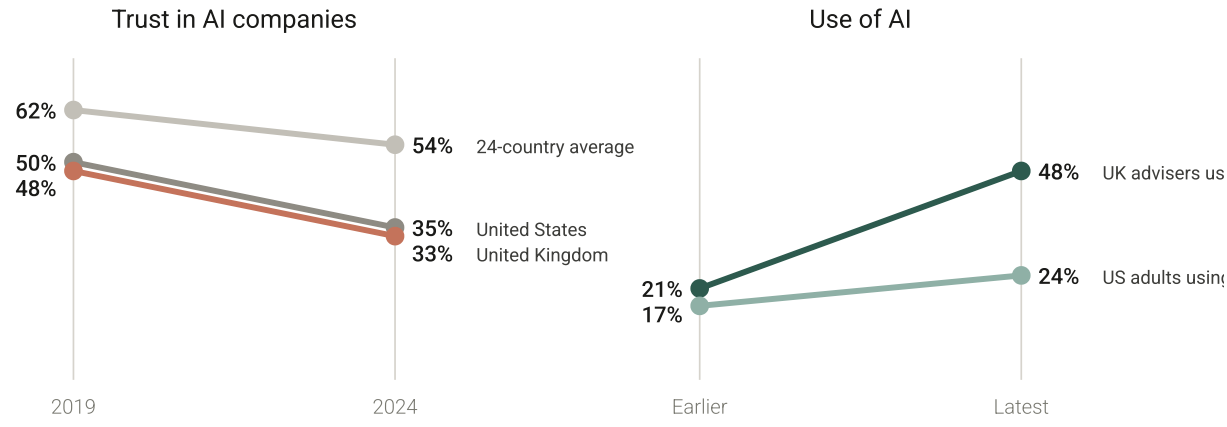
But use keeps rising

At the same time, use keeps growing. In the US, 24% of adults now say they use AI chatbots often, up from 17% in late 2025[42]. In the UK, 16% of adults, around nine million people, already use general-purpose AI apps to ask financial questions[15]. Among investors the figures are higher still. HSBC and Ipsos found that 57% of US investors use AI for financial and investment tasks, most often for analysis and research (51%), strategy support (40%) and second opinions (23%)[11].

FIGURE 8

Use of AI is rising while trust in AI companies falls

% of respondents, two separate measures



Source: Edelman Trust Barometer 2024 supplemental report; Schroders, November 2024 and late 2025 (UK advisers); Ipsos, November 2025 and April 2026 (US adults). Author's analysis.
Notes: the panels use different surveys, bases and periods, so they show direction, not a like-for-like comparison.

This is the scissor that defines the next phase of the industry: capability and use rising on one side, trust falling on the other. Firms cannot close the gap by adding more AI. They can only close it by making their use of AI understandable, accountable and visibly supervised by people.

Clients research with AI, and decide with people

The same HSBC and Ipsos study, covering almost 10,000 affluent and high-net-worth investors in ten markets including the UK, shows where trust still sits[11]. Only 12% of investors globally, and 7% in the US, say AI was the most influential factor in their last investment decision. Globally, 62% say their last investment idea came from a financial professional or institution, against 32% from AI. In the US the gap is wider, 59% against 19%, and wider still among high-net-worth investors, at 67% against 16%[11].

Crucially, the preference is not "human instead of AI". Half of investors globally prefer a *hybrid* model that combines AI and human advice, and in the US, Gen Z and Millennial investors choose a hybrid model across every financial task measured[11]. Northwestern Mutual's US research found that 54% of Gen Z and Millennials prefer an adviser who understands and uses AI, against 36% of Baby Boomers[13]. And nine in ten investors believe AI is effective for researching financial products, while eight in ten say it can support advisers in portfolio management[16].

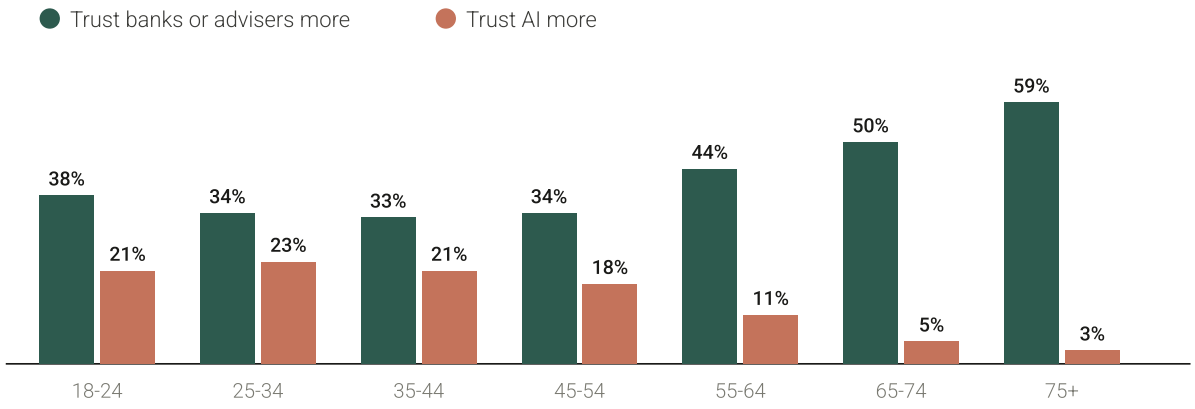
The UK picture

UK data tells the same story, with a sharp divide by age. Lloyds Banking Group's 2025 survey of around 5,000 UK adults found that, overall, 40% trust banks and financial advisers more than AI-generated financial advice, against 15% who trust AI more, and 51% still prefer advice from a human adviser[43]. But nearly a quarter of 25 to 34-year-olds (23%) now trust AI more, against just 3% of those aged 75 and over[43]. Edelman's October 2025 poll finds the same gradient in general trust in AI: 59% of UK adults aged 18 to 34 trust it, against 18% of those aged 55 and over[44]. These younger adults are the people who will inherit.

FIGURE 9

Younger Britons are far more willing to trust AI with financial advice

Trust AI-generated financial advice more than banks or advisers, or the reverse, % of UK adults by age



Source: Lloyds Banking Group, UK Consumer Digital Index 2025. Online survey of around 5,000 UK adults, July 2025.
Notes: the remainder trust both about the same or did not know. Online sample, so older age groups are digitally engaged adults.

The reframe

The common assumption is that older clients distrust AI and younger clients embrace it. That is true as far as it goes, but the evidence suggests something more useful. Clients of every age use AI to *research* and people to *decide*. Younger clients do not want their adviser replaced. They expect their adviser to be fluent in the tools they already use themselves.

The implication for firms is not to keep the phones staffed for the over-sixties and build an app for everyone else. It is that a firm's digital presence must look AI-capable and trustworthy at the same time. It must show that technology makes the service faster and more personal, and that a named, accountable human remains responsible for the advice.

IMPLICATIONS FOR WEALTH FIRMS

- Show clients how AI is used and who supervises it.
- Design digital services to look AI-capable and trustworthy at the same time.
- Keep a fast, visible route to a named person in every journey.

06 REGULATION

The FCA leaves firms to prove good outcomes, which makes trust a design obligation

The FCA's technology-neutral approach puts the burden of proving good outcomes on firms. That makes trust a design and communications obligation, not only a compliance one.

No AI rulebook, and none planned

UK regulators have chosen not to write an AI-specific rulebook. The FCA's approach is technology-neutral, principles-based and focused on outcomes, relying on existing rules such as the Consumer Duty and the Senior Managers and Certification Regime[45]. In October 2026 it restated that it does not plan to introduce extra regulations for AI[45]. Its good and poor practice review of AI in financial services, published the same month, applies the Consumer Duty and senior manager accountability to AI but creates no new requirements[46]. In practice, this means firms must be able to show that AI-assisted services produce good outcomes, and that a named senior manager is accountable for them.

The regulator is candid about the pace of change. "Technology is moving much faster than many regulatory paradigms," FCA chief executive Nikhil Rathi said in June 2026[47]. Parliament wants more. In January 2026 the Treasury Committee warned that a "wait and see" approach risked serious harm, and called on the FCA to publish comprehensive, practical guidance by the end of 2026 on how consumer protection rules and senior manager accountability apply to AI[48].

The perimeter problem

The harder question sits outside the regulated perimeter. The FCA's 2026 Perimeter Report lists "the growing use of general-purpose AI for guidance on borrowing, saving and investing" among the issues that fall outside its perimeter and may pose risks to consumers[49]. Consumers are already there. The Mills Review, the FCA's review of AI and the future of retail financial services published in July 2026, found that 16% of UK adults, around nine million people, use general-purpose AI apps to ask financial questions[15]. The FCA's own research with investors aged 18 to 40 found that 44% wrongly believe AI financial information is regulated[50].

The Mills Review recommended that the FCA consider, within three to six months, whether its perimeter should change to reflect general-purpose AI[15]. In October 2026 the FCA said it would clarify the boundary rather than simply widen it, and called on AI providers to make clear to users that their tools do not give regulated advice[46].

16%

of UK adults use general-purpose AI apps to ask financial questions[15]

44%

of young UK investors wrongly think AI financial information is regulated[50]

A new middle ground

The advice market itself is also changing shape. The FCA's targeted support regime went live on 6 April 2026, allowing firms to give suggestions to groups of consumers in similar circumstances without a full advice process. More than a dozen firms had been authorised by October 2026[51]. Before launch, surveys were sceptical: only 13% of consumers said they would find it useful, and a quarter of advisers doubted its benefit[2]. It nonetheless creates a new, lower-cost tier between generic guidance and full advice, and one that AI is well placed to serve.

THE REAL COMPETITOR IS UNREGULATED

The greatest competitive threat to regulated firms may not be another wealth manager or a robo-adviser. It is the free, general-purpose chatbot that will answer any financial question instantly, with no suitability assessment, no accountability and no recourse. Regulated firms hold a genuine advantage: a named, qualified, accountable person stands behind the advice. That advantage only counts if clients can see it.

IMPLICATIONS FOR WEALTH FIRMS

- Make accountability visible: name the person responsible for each client's advice.
- Be ready to evidence good outcomes from AI under the Consumer Duty, before any formal guidance arrives.
- Position regulated advice against free, unregulated AI guidance, not only against other firms.

07 SUSTAINABILITY

Efficient AI is becoming a procurement test

Efficient AI is becoming a procurement and reputational criterion, not just an ethical one.

AI has a physical footprint. The International Energy Agency estimates that data centres used around 485 TWh of electricity in 2025, slightly more than 1.5% of global demand. Data centre electricity use grew 17% in 2025, and consumption by AI-focused data centres grew by around 50%[52]. In the IEA's base case, demand reaches around 950 TWh by 2030, around 3% of the world's electricity[52,53]. Water is a growing concern too. US data centres used around 66 billion litres of water directly in 2023, and roughly 870 billion litres once the water used to generate their electricity is included[54].

The picture is not simply one of rising cost. The energy used by a typical AI text query is small and falling: Google puts its median Gemini text prompt at 0.24 watt-hours, and independent estimates for a typical ChatGPT query are around 0.3 watt-hours, although very long inputs and reasoning tasks can use a hundred times more[55]. The IEA estimates that

if every conventional internet search were replaced by a simple AI text query, the total would be under 4 TWh a year[52]. Stronger efficiency in software, hardware and infrastructure could cut data centre demand by more than 15% against the base case by 2035[53].

485 TWh	~950 TWh	0.24 Wh
global data centre electricity use, 2025[52]	IEA base case for 2030[52]	energy of a median AI text prompt[55]

For wealth firms, the lesson is practical. Sustainability is entering technology procurement: Gartner predicted in 2023 that 70% of technology sourcing leaders would have sustainability-aligned performance objectives by 2026[56], and large buyers are writing energy requirements into supplier contracts[56]. Four principles follow:

- **Use the smallest model that does the job.** Most client communication, summarisation and drafting does not need the largest, most energy-intensive models.
- **Reserve reasoning-heavy models** for genuinely complex analysis.
- **Ask vendors for disclosure** of energy and water use, and include it in procurement.
- **Fold AI into existing sustainability reporting,** including the FCA's climate and sustainability disclosure regime where it applies[57].

IMPLICATIONS FOR WEALTH FIRMS

- Choose the smallest AI model that does the job.
- Ask vendors to disclose energy and water use.
- Fold AI into existing sustainability reporting.

08 THE DIGITAL RESPONSE

Every pressure in this paper is a communications problem first

Every pressure in this paper is a communications problem before it is a technology problem.

The through-line

The evidence in the first seven sections converges on five conclusions.

1. **Assets are moving** to people with no relationship with the incumbent firm (Section 2).
2. **Value must be evidenced,** because tax and portfolio work is invisible unless it is shown (Section 3).
3. **Fees must be justified,** not assumed (Section 4).
4. **Trust is the bottleneck,** and it is a design problem (Section 5).
5. **Accountability is the regulated firm's edge,** but only if it is visible (Section 6).

None of these will be solved by technology alone. A firm can deploy the best AI tools in the market and still lose the next generation, still be priced as a commodity and still be distrusted, if clients cannot see what the firm does and who stands behind it. The firm's website, app, portal, reporting and content are where these problems are won or lost.

What a credible response looks like

Next-generation engagement. Build relationships with heirs before the transfer, not after it. That means content written for people in their thirties and forties, family-level onboarding, shared access to portals with appropriate permissions, and invitations to the next generation that do not depend on a face-to-face meeting.

Client portals that show the work. A portal should do more than display a valuation. It should show what the adviser did this quarter: rebalancing, tax decisions, allowance use, and the reasoning behind them.

Personalised and automated reporting. AI makes it economic to produce reporting written for each client, in plain English, instead of generic statements. Custom reporting is one of the clearest ways to make invisible value visible.

AI-assisted onboarding journeys. Digital onboarding that gathers information, explains the process and answers questions at any hour, with a clear and fast route to a named person.

Tax-year engagement calendars. ISA season, the end of the tax year, allowance resets and pension contribution deadlines are natural moments to show value. Allowance dashboards and timely prompts turn tax planning from an annual scramble into a visible, ongoing service.

Plain-English fee and value communication. A fee page that explains what each element pays for, and a statement each year of what the client received, makes the case for price before the client asks.

Visible human accountability. Every AI-assisted interaction should make clear who is responsible for the advice. Named advisers, clear explanations of how AI is used and how it is supervised, and an easy route to a person are the design features that close the trust gap.

FIGURE 10

A hybrid client journey, by design

Where AI and people each add the most value, by stage

	Discover	Onboard	Plan	Review	Succession
AI	Content and search answer early questions	Digital forms, document checks, 24/7 help	Modelling, tax and wrapper scenarios	Personalised reports and tax-year prompts	Family access and next-generation content
People	First conversation with a named adviser	Suitability and goals in person or on video	Judgment on trade-offs and risk	Reassurance in volatile markets	Family meetings before the transfer

A named, accountable person stays visible at every stage.

Source: Author's analysis.

The hybrid model, by design

The firms that succeed will not be the ones that use the most AI, or the ones that resist it longest. They will be the ones that design a hybrid model deliberately: AI where speed, scale and personalisation matter, people where judgment, reassurance and accountability matter, and a digital experience that makes the difference obvious to the client.

That is the meaning of the title of this paper. In the next decade, a hybrid model will not emerge by accident. It has to be designed.

09 CHECKLIST

How AI-ready is your client proposition?

A one-page self-assessment for leadership teams. Answer each question yes or no.

01	Do we have a deliberate plan to build relationships with our clients' heirs before assets transfer?	YES ☐	NO ☐
02	Would a 35-year-old who has never met us find our website credible, current and relevant to them?	YES ☐	NO ☐
03	Can a client see, in their portal or reporting, what we did for them this quarter and why?	YES ☐	NO ☐
04	Do we explain the value of our tax and wrapper planning in plain English, in UK terms?	YES ☐	NO ☐
05	Do we prompt clients ahead of key tax-year moments, such as ISA season and the end of the tax year?	YES ☐	NO ☐
06	Is our fee page clear about what each part of our fee pays for?	YES ☐	NO ☐
07	Do we show each client, at least once a year, the value they received?	YES ☐	NO ☐
08	Do we tell clients clearly how we use AI, and how it is supervised?	YES ☐	NO ☐
09	Is a named, accountable person visible behind every piece of advice?	YES ☐	NO ☐
10	Can a new client start onboarding digitally, at any hour, with a fast route to a person?	YES ☐	NO ☐
11	Is our client data unified enough to scale AI beyond pilot projects?	YES ☐	NO ☐
12	Do we choose AI tools with their energy use and disclosure in mind?	YES ☐	NO ☐

Scoring. Ten or more yes answers suggests a proposition that is ready for the hybrid decade. Six to nine suggests strong foundations with clear gaps. Five or fewer suggests that the pressures described in this paper are already costing the firm clients and margin, whether or not it can yet see them.

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ABOUT THE DATA

This report is based on desk research carried out between August and October 2026. It draws on more than fifty published sources: regulators and central banks, government publications, global consultancies, asset managers and large investor surveys. Each statistic is dated and attributed to its original publisher. Where only a secondary report of a study was available, the note says so. Much of the best evidence on fees, heirs and investor behaviour comes from the US or from multi-country studies; this is labelled in the text and on every chart. UK tax figures refer to the 2026/27 tax year unless stated. Figures are correct as at October 2026.

USE OF AI IN THIS REPORT

This report was researched and drafted with the assistance of AI tools. Every statistic was checked against its original publisher, and the analysis and conclusions are the author's own. The author takes full responsibility for the content.

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